

POVERTY DROP

Figures in per cent denote the extent by which poverty has come down

ASSAM
21.02

HIMACHAL
PRADESH
18.80

BIHAR*
12.94

TAMIL NADU
11.45

KERALA
10.23

KARNATAKA
8.55

JAMMU &
KASHMIR
8.12

UTTAR
PRADESH*
7.77

GUJARAT
7.24

ANDHRA
PRADESH
7.03

MAHARASHTRA
6.40

RAJASTHAN
6.02

MADHYA
PRADESH*
3.65

PUNJAB
3.13

ORISSA
2.09

ALL INDIA
8.38

* Data represents undivided states

COSTLY LESSONS: The Sarva Shiksha Abhiyan is yet to deliver



PANKAJ TIWARI

LEARN TO EARN

Those with skills and degrees are placed to earn higher incomes

EDUCATION LEVEL	50th Employment Round (1993-94)	61st Employment Round (2004-05)	Growth Annualised
ILLITERATE	Rs 13,171	Rs 32,362	8.5%
BELOW PRIMARY	Rs 18,220	Rs 42,709	8.1%
PRIMARY	Rs 21,377	Rs 49,962	8%
MIDDLE	Rs 28,144	Rs 62,271	7.5%
SECONDARY	Rs 46,634	Rs 1,03,602	7.5%
HIGHER SEC.	Rs 55,789	Rs 1,39,600	8.7%
GRADUATES	Rs 85,515	Rs 2,70,103	11%
ALL SEGMENTS	Rs 24,980	Rs 73,145	10.3%

Figures denote average annual income

boosts incomes. The availability of infrastructure and hence industrial employment enables Chandigarh to have the highest per capita income in the country at Rs 70,662.

It is a spectre that must occupy prime time in Parliament but fractious politics has no time for real issues. But beyond the casual reference in election manifestos and speeches, the drive there isn't much moving on the ground. Sure the UPA regime has tried to evolve its own brand of inclusive growth. It has

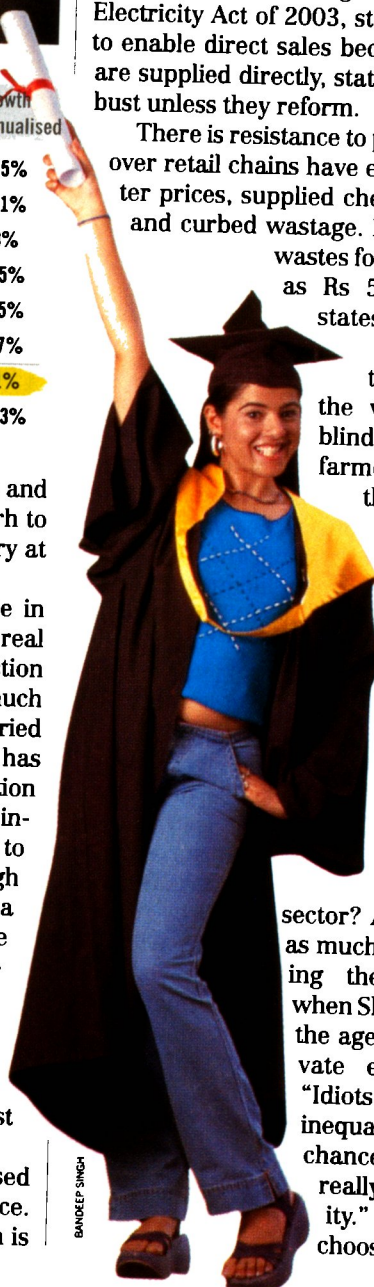
boosted spending in education through the Sarva Shiksha Abhiyan, increased credit to agriculture and tried to improve physical infrastructure through Bharat Nirman. It has even instituted a National Rural Employment Guarantee Scheme. Arguably, these measures should deliver some results but the history of government intervention in India is too poor to spur optimism. These initiatives are caught in perennial battle governments have to wage to improve percolation and prevent evaporation in their quest for the trickle-down effect.

Political parties and politicians have often used the fig leaf of size to justify the deficit in governance. The other excuse is political consensus. The truth is

that there is no concerted effort, no common minimum programme (barring the jaded plans drawn out by the Planning Commission). There can be no justifiable opposition to improving education. Yet, dropouts from primary schools are astounding. In the most populous states, less than 50 per cent of children over the age of 10 have completed primary education. Primary health and infant mortality rates are again highest in the most populous states. Any health emergency in a low-income family can instantly push it below the poverty line. Yet, investment in health is abysmal. The story in physical infrastructure is no different. Consider power. Every year, close to Rs 30,000 crore worth of electricity is lost to leakage and theft. Yet, the entrenched have ensured no real reforms are allowed in transmission and theft control. There is private sector interest but private investors want the freedom to sell and get returns. But despite the Electricity Act of 2003, states have resisted reforms to enable direct sales because if creamy customers are supplied directly, state electricity boards will go bust unless they reform.

There is resistance to private initiative too. World over retail chains have enabled farmers to get better prices, supplied cheaper goods to consumers and curbed wastage. Despite the fact that India wastes food produce worth as much as Rs 55,000 crore every year, states have ganged up against retail chains. Obviously, the myopia of pandering to the votebank of traders has blinded them to the fact that farmers and consumers form the largest constituency.

Clearly, mainstream political thought believes in creating a constituency of people dependent on sops. Why else would the Government not reform the labour laws enabling those living off less than Rs 20 a day to gain better incomes and promote the concept of doles to the unorganised sector? Arguably, inequality was as much a subject of debate during the industrial revolution when Shaw was around as it is in the age of hedge funds and private equity. As Shaw said, "Idiots are always in favour of inequality of income (their only chance of eminence), and the really great in favour of equality." India's politicians must choose their constituency. ■



BANDEEP SINGH